IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CoP No. 67/BB/2017
&
CoP No. 68/BB//2017
U/S 230 to 232 of the Companies Act, 2013
Judgement/Order Delivered on: **15h March, 2018**

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

IN THE MATTER OF SCHEME OF AMALGAMATION
OF
SONUS NETWORKS TRADING PRIVATE LIMITED
WITH
SONUS NETWORKS INDIA PRIVATE LIMITED
AND THEIR RESPECTIVE SHAREHOLDERS

Sonus Networks Trading Private Limited,
2nd Floor, Delta Block, Embassy Tech Square,
Kadubeesanahalli Village, Outer Ring Road,
Varthur Hobli,
Bengaluru-560103 - **PETITIONER/TRANSFEROR COMPANY**

Sonus Networks India Private Limited,
2nd Floor, Delta Block, Embassy Tech Square,
Kadubeesanahalli Village, Outer Ring Road,
Varthur Hobli,
Bengaluru-560103 - **PETITIONER/TRANSFEREE COMPANY**

For the Petitioner : 1) Mr. H.N. Vasudevan, Kochhar & Co., # 201, Prestige Sigma, No.3, 2nd Floor, Vittal Mallya Road, Bengaluru-560001 Advocate for the Petitioner Company
2) Ms. Prema Hatti, Standing Counsel for Central Government Advocate for the Regional Director.
3) Mr. Pramod Kumar, Assistant, Official Liquidator Representative for Official Liquidator

Per: **Hon'ble Shri Ratakonda Murali, Member (Judicial)** – Author

Heard on: 03/11/2017, 20/12/2017, 24/01/2018 & 21/02/2018.

C O M M O N O R D E R

These Company Petitions were filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation where under the **Sonus Networks Trading Private Limited,** Petitioner /Transferor Company is proposed to be merged with **Sonus Networks India Private Limited**, Petitioner /Transferee Company for purposes of considering the Scheme of Amalgamation etc. and shall be binding upon all the Shareholders of the Petitioner Companies.

The averments made in the Company Petitions are briefly described hereunder:-

The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation of **Sonus Networks Trading Private Limited** (Transferor Company) with **Sonus Networks India Private Limited** (Transferee Company). The Scheme of Amalgamation is shown as **Annexure A**.

The Petitioner / Transferor Company was incorporated on 23rd July, 2008 under the provisions of the Companies Act, 1956 under the name and style as **Sonus Networks Trading Private Limited** with Registrar of Companies, Karnataka having CIN No.**U52399KA2008PTC047253**. The Registered Office of the Petitioner / Transferor Company is situated at 2nd Floor, Delta Block, Embassy Tech Square, Kadubeesanahalli Village, Outer Ring Road, Varthur Hobli, Bengaluru-560103.

The main objects of the Petitioner / Transferor Company is to carry on in India or elsewhere the business of purchasing, trading, merchants, wholesaling, retailing, liasioning, marketing, advertising, making, stockists, distributors, importers, exporters, intermediaries, middle men, brokers, suppliers, indentors, C&F agents, commission agents, buying agents, selling agents, consultants, franchisers or otherwise to exchange load, unload, handle, deal in all types of goods of telecom hardware, software, network service, trunking, media gateway processing of voice/data using internet, satellite links, fiber optics, including video conferences, video text, telefax and equipment parts and components attached and used to any of the foregoing. The Petitioner / Transferor Company is presently engaged in the business of marketing and sales service in India region, having no direct sales in India. The copy of Memorandum and Articles of Association of the Petitioner / Transferor Company is shown as **Annexure-C.**

The latest authorized share capital of Petitioner / Transferor Company is Rs.1,00,000/- divided into 10, 000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/-each fully paid up. The Audited balance sheet as on 31st March, 2016 shown as **Annexure –D1.**

The Petitioner / Transferee Company was incorporated on 21st April, 2004 under the provisions of the Companies Act, 1956 under the name **Sonus Networks India Private Limited** with Registrar of Companies, Karnataka having CIN No.**U72200KA2004PTC033788**. The Registered office of the Petitioner / Transferee Company is situated at 2nd Floor, Delta Block, Embassy Tech Square, Kadubeesanahalli Village, Outer Ring Road, Varthur Hobli, Bengaluru-560103.

The main objects of the Petitioner / Transferee Company is to carry on the business of designing, developing, improving, modifying, customizing, analysis, licensing, importing, and exporting of devices and products of all description for communication, voice and data transmission, networking, switching, convergence, trucking including but not limited to providing solution for system development, consultation in information management in technological areas, including software development, software maintenance, software conversion/rewriting, software reengineering of projects/ products of all description. The Petitioner / Transferee Company is presently engaged in the business of software development services exclusively for its parent company and also engaged in Software testing and development (STPI Unit) of communication equipment of the parent company. Copy of the Memorandum and Articles of Association of the Petitioner / Transferee Company shown as **Annexure-C.**

The latest authorized share capital of Petitioner / Transferee Company is Rs.1,00,00,000/- divided into 10,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.66,05,950/- divided into 6,60,595 Equity Shares of Rs.10/-each fully paid up. The audited balance sheet as on 31st March, 2016 is shown as **Annexure –D1.**

The Board of Directors of the Petitioner Companies i.e., Transferor Company and Transferee Company at their respective Board Meetings held on 22nd December 2016 have approved and adopted the Scheme of Amalgamation by virtue of which the **Sonus Networks Trading Private Limited** (Transferor Company) be amalgamated with **Sonus Networks India Private Limited** (Transferee Company). The Copies of Board Resolution are shown as **Annexure E1 and E2** respectively.

It is further averred that, the benefits achieved by the amalgamation is as follows:-

i) The integration of the operations of the Transferor Company and the Transferee Company would have the benefit of eliminating duplication of processes and structures resulting in cost savings;

ii) A single unified operating platform in India leading to better synergies and cost efficiencies;

iii) Centralizing the activities of the companies is expected to lead to improvement in operational and cost efficiency through economies of scale, optimization of resources, expansion of asset base and a stronger balance sheet of the enlarged company;

iv) After the merger of the Transferor Company into the Transferee Company the Transferor Company will be dissolved without winding up. Consequently, there would be less regulatory and legal compliance obligations including accounting, reporting requirements, statutory and internal audit requirements, tax filings, etc., and therefore reduction in administrative costs;

v) The amalgamation would facilitate improvement in organizational capabilities arising from the pooling of human resources with diverse skills, talent and experience;

vi) The combined operations of the Transferor Company and the Transferee Company are expected to give rise to capital efficiency and improved cash flows; and

vii) Enhancing return on capital employed, earnings before interest, tax, depreciation and amortization and shareholder value.

It is further averred that, the shareholders of the Transferor Company shall receive 3 (three) equity shares of Rs 10/- in the Transferee Company in lieu of every 5 (five) equity shares of Rs 10/- each fully paid up held by them in the Transferor Company. It is further averred that, the assets of the Transferor company and the Transferee Company are more than sufficient to meet the liabilities of both the companies and the said Scheme of Amalgamation will not adversely affect the rights of any of the creditors of the transferor Company in any manner whatsoever.

The Transferor & Transferee Companies had filed C.A.(CAA) No.67/BB/2017 & C.A.(CAA) No.68/BB/2017 before this Tribunal and seeks an order to dispense with convening of meeting of Shareholders and Creditors of the Petitioner Companies for approving the Scheme of Amalgamation by virtue of which Sonus Networks Trading Private Limited (Transferor Company) is proposed to be merged with Sonus Networks India Private Limited (Transferee Company). This Hon'ble Tribunal vide separate Orders dated 22nd September 2017 allowed the Applications based on the written consents given by the Shareholders and Creditors of the respective Companies was pleased to dispense with the requirement of convening meetings of the shareholders and the secured creditors and unsecured creditors of both the Petitioner Companies. The copy of the Order of Tribunal in C.A(CAA) No.67/BB/2017 & C.A.(CAA) No.68/BB/2017 are shown as **Annexure -F** in the respective Company Petitions.

It is further averred that, in view of the above decision to dispense with convening and holding of the meetings of shareholders, secured creditors and unsecured creditors of the Petitioner Companies, no meeting was held and no report of the Chairperson is being submitted alongwith this Petition.

It is further averred that, the Transferor Company and Transferee Company have filed the Petitions bearing C.P (CAA) No. 67/BB/2017 and C.P (CAA) No. 68/BB/2017 respectively before this Tribunal for sanctioning the scheme of Amalgamation on 11th October 2017.

This Hon'ble Tribunal vide separate Order dated 3rd November 2017 in C.P (CAA) No. 67/BB/2017 and C.P (CAA) No. 68/BB/2017 directed to issue Notice to Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad, Registrar of Companies, Karnataka, Bangalore and the concerned Income Tax Authority, Official Liquidator and to have an advertisement of Notice of Petition be carried out in the **'The Hindu'**, an English daily Newspaper and **'Udayavani'**, a Kannada daily Newspaper and both Bengaluru Editions within 10 Days before date of hearing and also stating the next date of hearing of the present petitions was on **20th December 2017.**

In pursuant to this Tribunal Order dated 3rd November 2017 the Counsel has filed Affidavit dated 8th November 2017 of the authorized signatory of the Petitioner Companies stating that, the Petitioner Companies served Notices to the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad, Registrar of Companies, Karnataka, Income Tax Officer and other statutory authorities and also filed Memo **dated 20th December 2017** for carrying out advertisement of Notice of Petition in '**The Hindu**', an English daily Newspaper and '**Udaya Vani**', a Kannada daily newspaper on 30th November 2017 as shown in **C.P (CAA)No. 67/BB/2017 & C.P (CAA)No. 68/BB/2017** respectively.

The Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad vide his Affidavit dated 30th January 2018 has made the observations as follows:-

a) That the report of the Registrar of Companies, Karnataka in his report vide letter No. ROCB/Legal/CP.No.CAA/67 & 68/2017 dated 11th December 2017 and the Petitioner Company's letter dated 15/12/2017 (received on 05.01./2018) in which the petitioner company had submitted the information called for and have to state that the Directorate has no objection to the instant scheme.

The Official Liquidator vide his Report bearing No. OLR 11/2018 has stated that:-

a) In pursuant to the orders of this Tribunal dated 20th December 2017, he has appointed M/s Ankh & Associates, Chartered Accountants for scrutiny of the books of accounts and records of the Transferor Company. M/s Ankh & Associates, Chartered Accountants has submitted report dated 16/01/2018 on the affairs of Transferor Company in question and submitted in his report as hereunder:-
   i) The Transferor company has maintained all the books of accounts and statutory registers and records up to date.
   ii) As could be seen from records, the Transferor Company is regular in paying taxes and other statutory payments.
   iii) The Transferor Company is regular in complying with statutory filing of returns under various statutes.
   iv) The Transferor Company has not obtained any credit facilities from banks or financial institutions.
   v) The Transferor Company has been regularly holding meetings of the Directors and the Shareholders as required under law.

vi) On scrutiny of books of accounts, papers, statutory registers and other related records of the company, we are of the opinion that the affairs of the Transferor Company have not been conducted in any manner prejudicial to the interests of its shareholders, creditors and the public".

The Official Liquidator made an observation that, the petition may be disposed off on its own merit after hearing the objections if any by other sectoral regulator and Transferor Company may be dissolved without winding up by this Hon'ble Tribunal, and/or any further order/orders as may be deemed fit and proper in the facts and circumstances of the case may kindly be passed.

The Counsel for the Petitioner Companies has filed the copy of Accounting Treatment Certificate of the Chartered Accountant **dated 10th July 2017** stating that the accounting treatment in the books of the Company contained is in compliance of the applicable Accounting Standards specified under Section 133 of the Act, read with Rule 7of the Companies (Accounts) Rules, 2014 and other Generally Accepted Accounting Rules and the same is shown as **Annexure-H.**

After hearing the Counsel for the Petitioner Companies and considering the material on record,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the transferee company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

The Petitioner Companies are directed to strictly comply with the Accounting Treatment Standards prescribed under Section 133 of the Companies Act, 2013.

All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2016.

The Transferor Company or its Authorised Signatory is directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply the Tribunal in the above matter for any directions that may be necessary.

15/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

15/3/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL